NOMURA

Global Markets Research
11 April 2024

JPY Weekly Flow Monitor

Foreign Exchange - Global

Mrs. Watanabe may be waiting for FX intervention with the largest JPY long position

A weekly update on key JPY flow developments.

Key points of the week

- *USD/JPY hit its new year-to-date high above 153 on 10 April, after the US core CPI for March exceeded market consensus. In our view, USD/JPY is now in a territory where increased caution against possible FX intervention by the MOF is warranted.*
- *Looking at the latest weekly JPY positioning data, Japanese retail FX investors (a.k.a., Mrs. Watanabe), had the largest JPY long positions against USD in exchange trading. They may be waiting for USD/JPY to decline following a possible yen-buying intervention by the MOF. This stands in stark contrast to offshore asset managers and leveraged funds, who held the largest JPY short positions in almost two years.*
- *The JPY positioning by Japanese retail FX investors reflects their contrarian behavior. If yen-buying intervention is conducted, they are likely to buy back USD/JPY to take profits. While we maintain our view that yen-buying intervention could push down USD/JPY by 4-6 yen in the short term, their profit taking might alleviate yen appreciation temporarily.*

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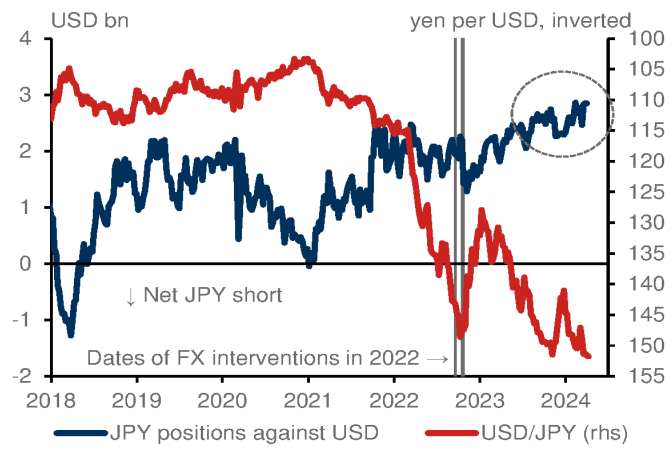
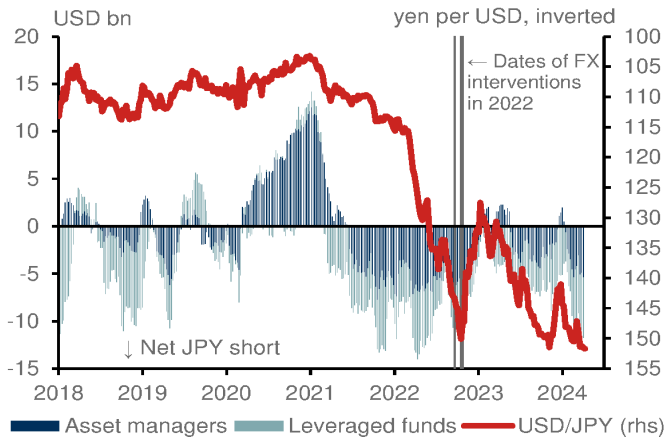
Fig. 1: JPY positioning against USD by Japanese retail FX investors



Note: Data for JPY positioning are as of 2 April. Data include positions at Tokyo Financial Exchange (TFX), and do not include the OTC transactions.
Source: Macrobond, Nomura

Fig. 2: JPY positioning in currency futures by CFTC



Note: Data for JPY positioning are as of 2 April.
Source: Macrobond, Nomura

Mrs. Watanabe may be waiting for FX intervention with the largest JPY long position

USD/JPY hit its new year-to-date high above 153 on 10 April after the US core CPI for March exceeded market consensus. In our view, USD/JPY is now in a territory where increased caution against a possible FX intervention by the MOF is warranted(see *JPY Weekly - Invisible ceiling on USD/JPY?*, 11 April 2024).

Looking at the latest weekly JPY positioning, Japanese retail FX investors (a.k.a., Mrs. Watanabe) had nearly the largest JPY long positions against USD in exchange trading (TFX) as of 2 April (*Fig. 1*). For a more holistic gauge of positioning held by Mrs. Watanabe, we should examine the latest position data at end-March in the OTC transactions, which have not yet been released. Nonetheless, the JPY positioning at TFX is consistent with their usual contrarian behavior. They tend to increase JPY long positions when yen is depreciating, and vice versa (see *Mrs. Watanabe had the largest ever short*

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See Appendix A-1 for analyst certification, important disclosures and the status of non-US analysts.

USD/JPY positioning at end-October, 24 November 2023). In this phase, they may be waiting for USD/JPY to decline following possible yen-buying intervention by the MOF. This stands in stark contrast to offshore asset managers and leveraged funds who held the largest JPY short positions in almost two years as of 2 April (*Fig. 2*).

Given Mrs. Watanabe's contrarian behavior, if yen-buying intervention is conducted, they are likely to buy back USD/JPY to take profits. Indeed, their JPY long positions sharply declined after the MOF conduced FX intervention on 21 and 24 October 2022 (*Fig. 1*) While we maintain our view that yen-buying intervention could push down USD/JPY by 4-6 yen in the short term, their profit taking might alleviate yen appreciation temporarily (see *JPY Weekly Flow Monitor - How long did the impact of the MOF's FX interventions last in 2022?*, 28 March 2024).

MOF international weekly capital flow data (31 March to 6 April)

During the week of 31 March to 6 April, Japanese investors net sold JPY302bn ($2.0bn) of foreign equities. The selling by pension funds to rebalance their portfolio allocations may have exceeded the buying by investment trusts, with net inflows into foreign equity investment trust slowing (see *JPY Weekly Flow Monitor - Signs of slowing NISA flow momentum*, 4 April 2024). Japanese investors net purchased JPY346bn ($2.3bn) of foreign bonds. There have not been any clear sign of shifting their funds from foreign bonds to domestic bonds so far. We should closely monitor incoming data to examine how Japanese investors such as life insurance companies will respond to the rise in long-term JGB yields after the release of the stronger-than-expected US core CPI data for March.

In the same week, non-residential investors net purchased JPY1.8trn ($11.6bn) of Japanese equities. They net purchased Japanese equities for the first time in four weeks. This is consistent with the seasonality of overseas investors buying Japanese investors during April. Non-residential investors net sold JPY349bn ($2.3bn) of Japanese bonds. They might have increased JGB short positions due to the positive output gap data and BOJ Governor Ueda's interview with *Asahi*, which signalled the possibility of another rate hike in summer or autumn (see *JPY Intraday Comment - Governor Ueda signaling a possibility of a rate hike from summer to fall*, 5 April 2024).

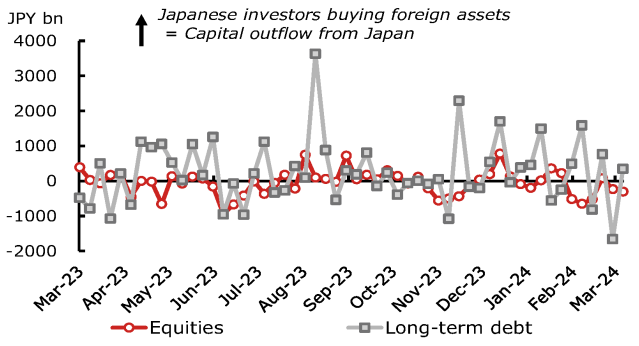
Fig. 3: Weekly MOF international transactions in securities (as of 31 March - April 6)

		Latest			Past 12W average		Past 12 weeks data
		JPY bn	$ bn	Z-score	JPY bn	$ bn	
Japanese investors	Foreign equities	-302	-2.0	-0.6	-141	-0.9	
	Foreign LT debt	346	2.3	0.2	182	1.2	
	Foreign ST debt	-3.1	0.0	0.0	75	0.5	
Foreign investors	Japanese equities	1,764	11.6	2.8	144	0.9	
	Japanese LT debt	-349	-2.3	-0.3	53	0.3	
	Japanese ST debt	4,390	29.0	2.3	436	2.9	

Note: 1. Positive signs in Japanese investors' foreign securities investment could indicate that they net bought foreign securities or capital outflow from Japan. 2. Positive signs in foreign investors' Japanese securities investment may indicate that they net bought Japanese securities or capital inflow to Japan. 3. Z-scores are calculated based on the past five years' data.
Source: Nomura, MOF

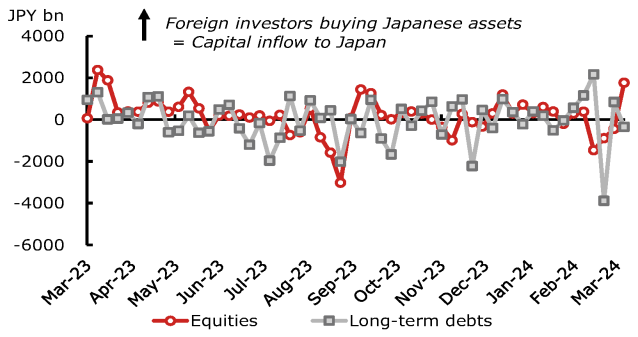
Weekly portfolio investment flow key charts

Fig. 4: Japanese investors' net purchases of foreign securities (weekly)



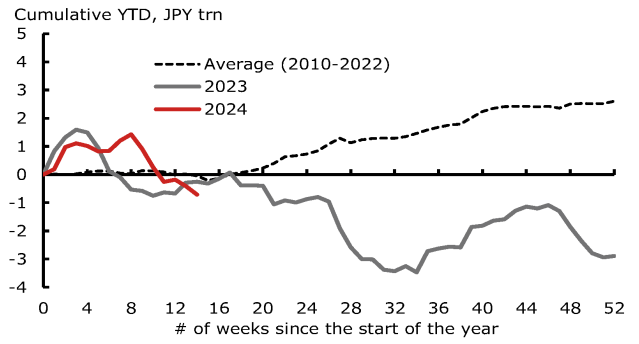
Source: Nomura, MOF

Fig. 5: Foreign investors' net purchases of Japanese securities (weekly)



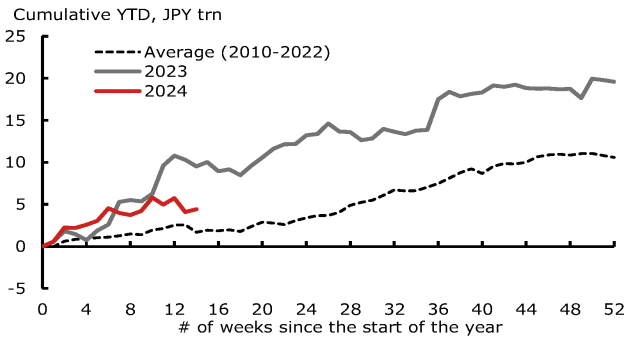
Source: Nomura, MOF

Fig. 6: Japanese investors' YTD cumulative net purchase of foreign equities



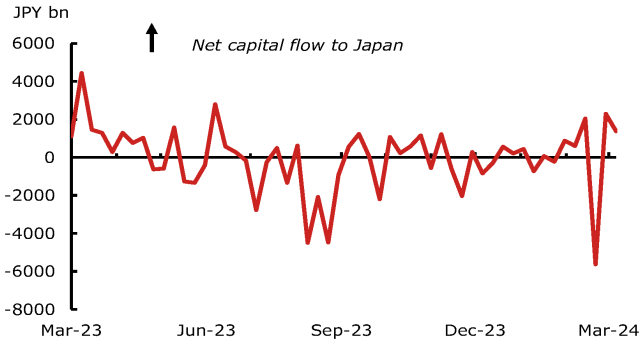
Source: Nomura, MOF

Fig. 7: Japanese investors' YTD cumulative net purchase of foreign bonds



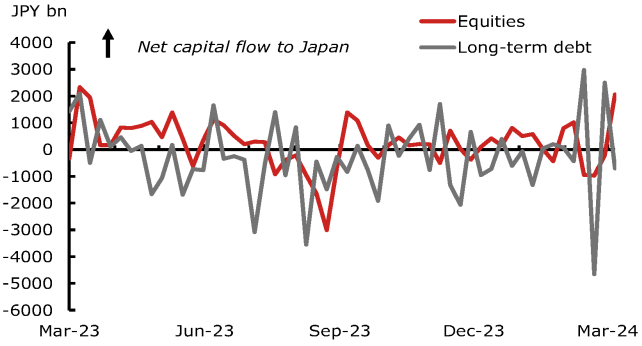
Source: Nomura, MOF

Fig. 8: Net capital flow to Japan via portfolio investment



Note: Sum of the portfolio investment assets and liabilities, with a positive sign meaning capital inflow to Japan.
Source: Nomura, MOF

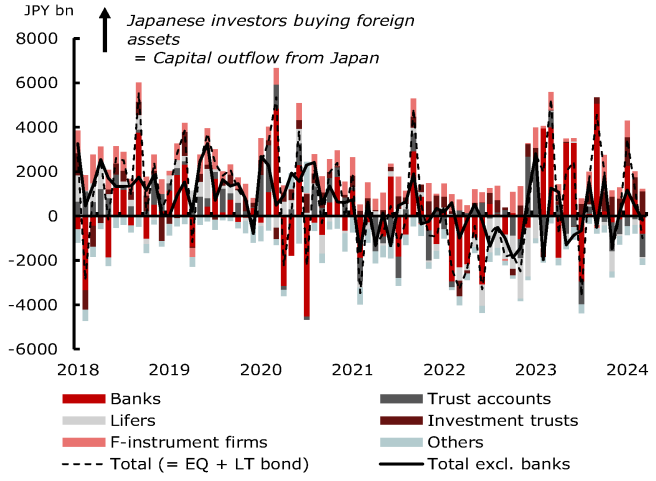
Fig. 9: Net capital flow to Japan by product



Note: Sum of the portfolio investment assets and liabilities, with a positive sign meaning capital inflow to Japan.
Source: Nomura, MOF

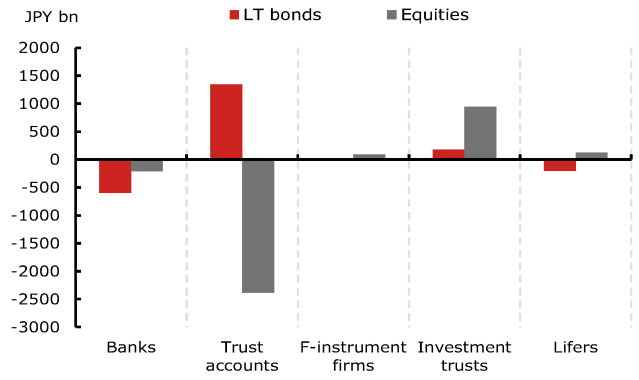
Monthly capital flow key charts

Fig. 10: Japan's net purchases of foreign securities by investor type



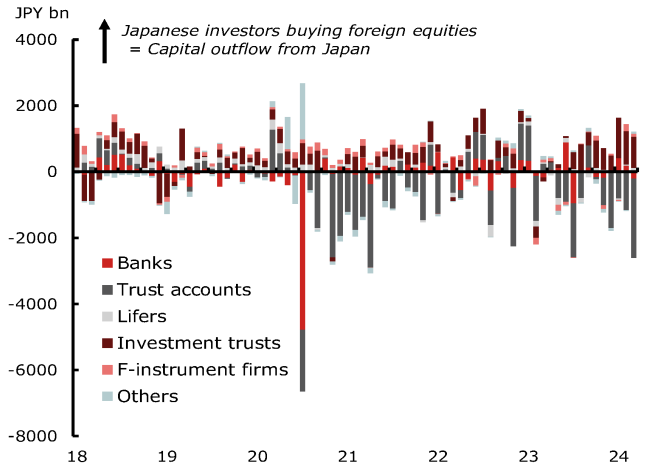
Source: Nomura, MOF

Fig. 11: Foreign portfolio investment by investor type



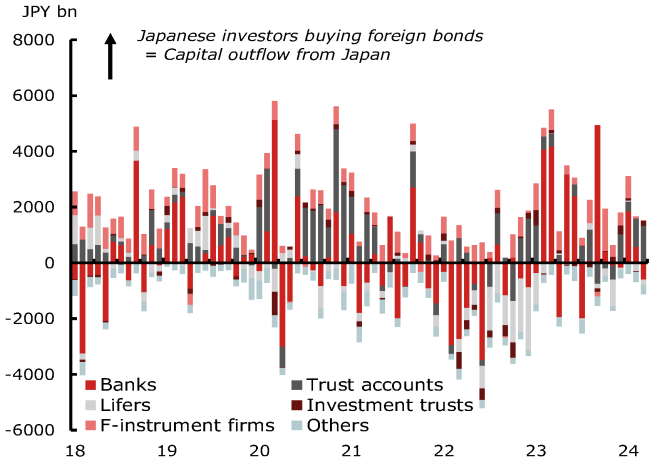
Note: Flow data for March 2024.
Source: Nomura, MOF

Fig. 12: Japan's net purchases of foreign equities



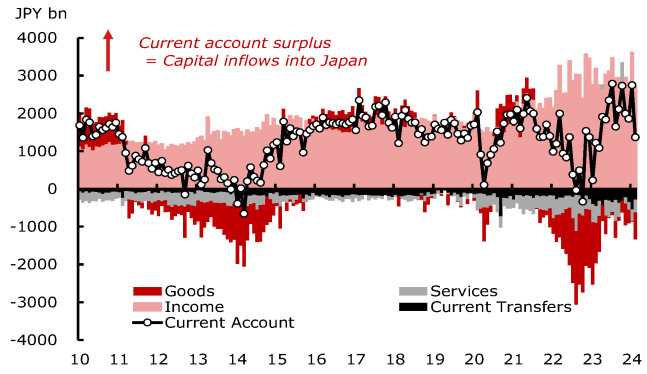
Source: Nomura, MOF

Fig. 13: Japan's net purchases of foreign bonds



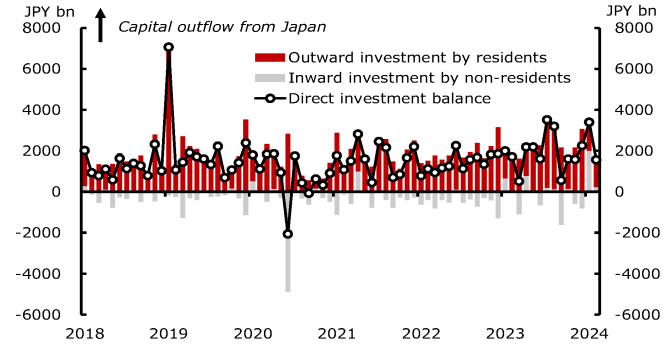
Source: Nomura, MOF

Fig. 14: Current account balance (SA)



Source: Nomura, MOF, BOJ

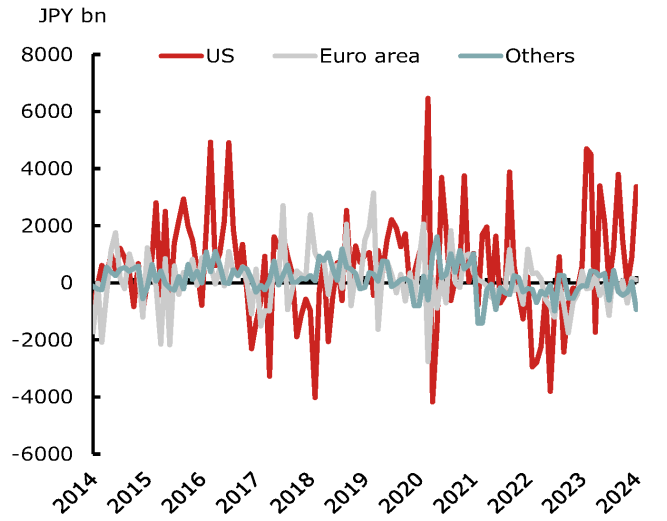
Fig. 15: Japan's direct investment balance



Note: Monthly data.
Source: Nomura, MOF, BOJ

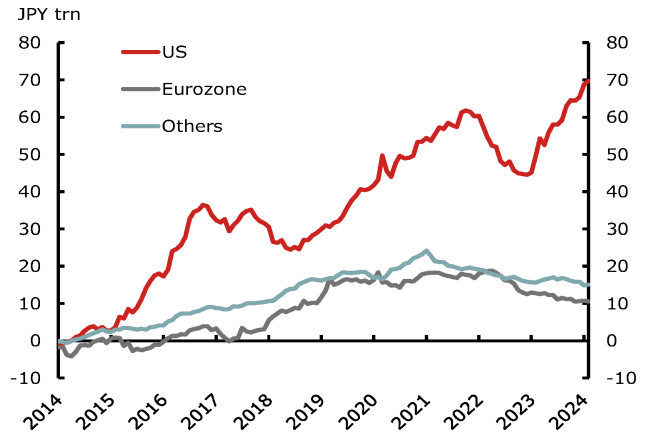
Portfolio investment flow by country

Fig. 16: Net purchases of foreign LT debt



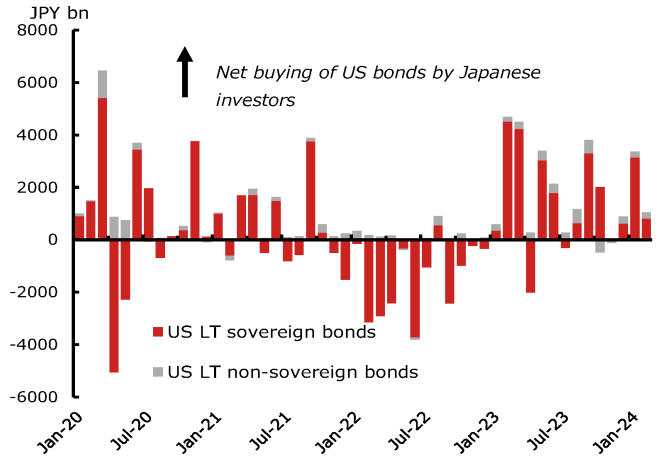
Source: Nomura, MOF, BOJ

Fig. 17: Cumulative net purchases of foreign LT debt



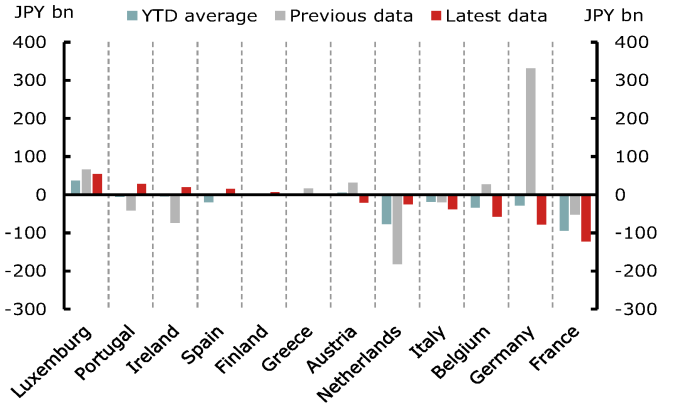
Note: Cumulative net purchase since 2014.
Source: Nomura, MOF, BOJ

Fig. 18: Japanese investors' US bond investment



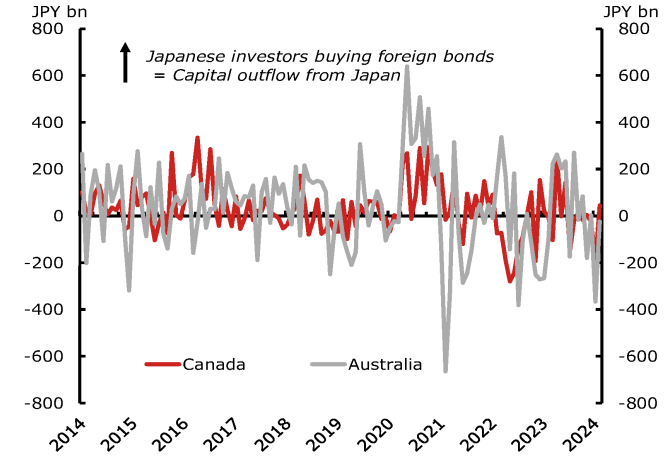
Source: Nomura, MOF, BOJ

Fig. 19: Japanese investors' euro area bond investment



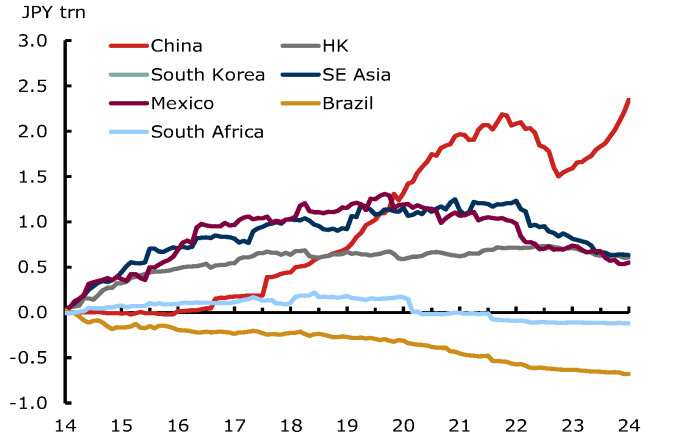
Note: The latest data is for February 2024.
Source: Nomura, MOF, BOJ

Fig. 20: Japanese investors' Australia and Canada bond investment



Source: Nomura, MOF, BOJ

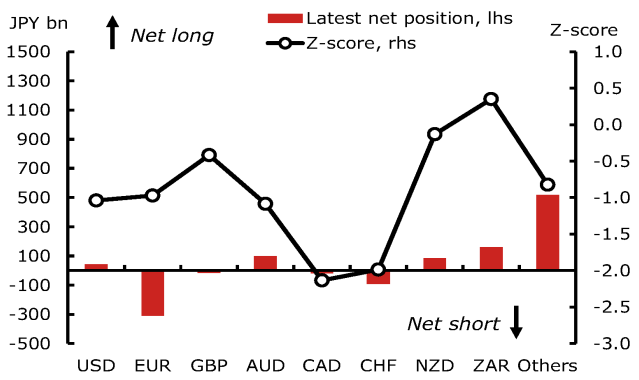
Fig. 21: Cumulative net purchase of EM countries' LT debt



Note: Cumulative net purchase since January 2014.
Source: Nomura, MOF, BOJ

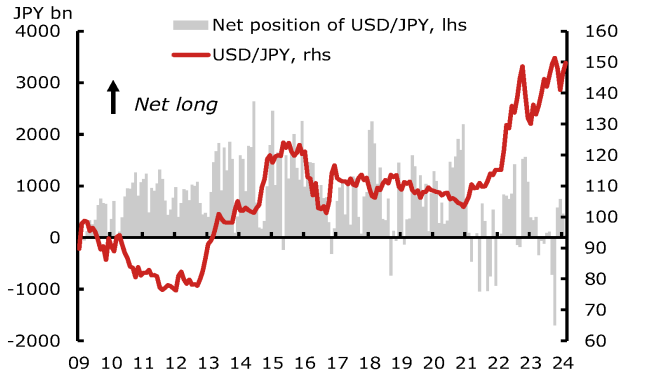
Margin trade positions

Fig. 22: Margin trade positions at OTC



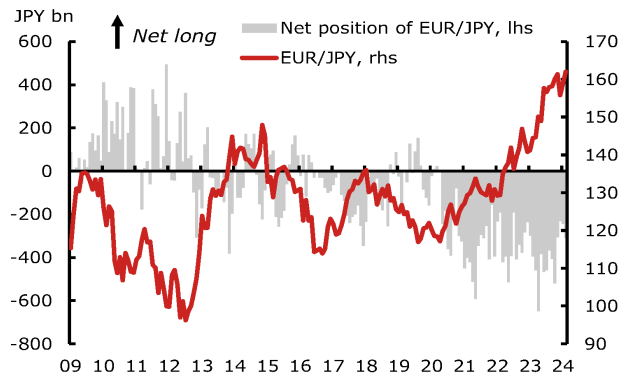
Note: Z-scores are calculated based on data since 2010. The Latest data as of February-24.
Source: Nomura, Financial Futures Association of Japan, Macrobond

Fig. 23: USDJPY and margin trade positions at OTC



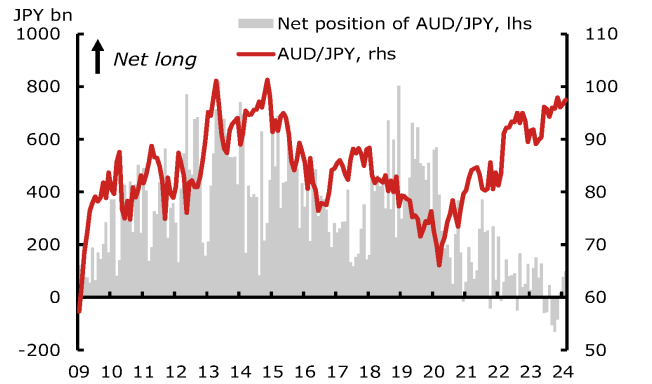
Source: Nomura, Financial Futures Association of Japan, Bloomberg

Fig. 24: EUR/JPY and margin trade positions at OTC



Source: Nomura, Financial Futures Association of Japan, Bloomberg

Fig. 25: AUD/JPY and margin trade positions at OTC



Source: Nomura, Financial Futures Association of Japan, Bloomberg

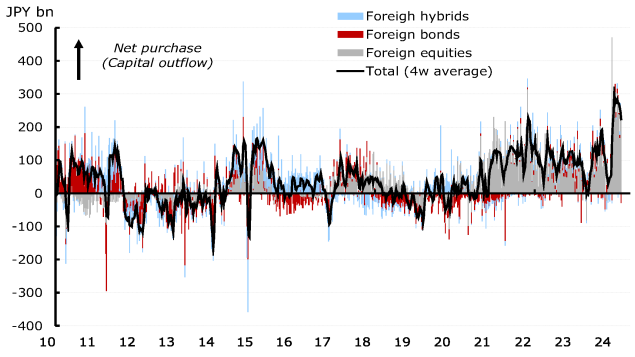
Fig. 26: Margin trading positioning at TFX

		USDJPY	EURJPY	GBPJPY	AUDJPY	NZDJPY	CADJPY	ZARJPY	TRYJPY	Total
2024/4/9 (Latest)	JPYbn	-428.30	-25.38	-104.68	-11.75	8.93	8.18	28.45	22.56	-501.98
	USDbn	-2.82	-0.17	-0.69	-0.077	0.059	0.054	0.19	0.15	-3.31
2024/4/2	JPYbn	-431.78	-24.40	-98.48	-3.89	19.39	0.22	33.18	22.99	-482.78
	USDbn	-2.85	-0.16	-0.65	-0.026	0.128	0.001	0.22	0.15	-3.19
2024/3/26	JPYbn	-431.97	-24.36	-100.99	-6.01	15.08	0.43	38.59	22.56	-486.67
	USDbn	-2.85	-0.16	-0.67	-0.040	0.100	0.003	0.25	0.15	-3.21
2024/3/19	JPYbn	-427.17	-26.33	-107.15	-6.09	10.94	0.33	34.56	21.94	-498.97
	USDbn	-2.83	-0.17	-0.71	-0.040	0.073	0.002	0.23	0.15	-3.31

Source: Bloomberg, Financial Futures Association of Japan, TFX, Nomura

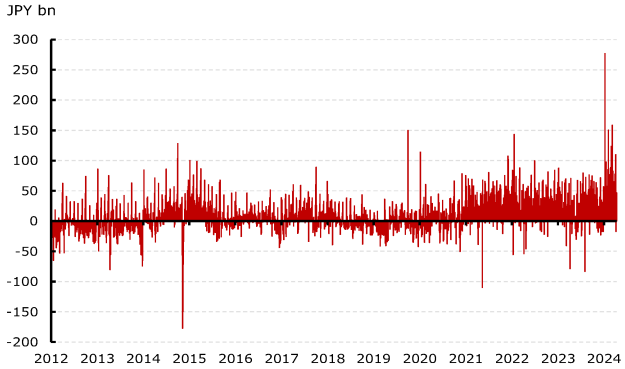
Toshin market

Fig. 27: Net purchases of toshins investing in foreign securities (weekly)



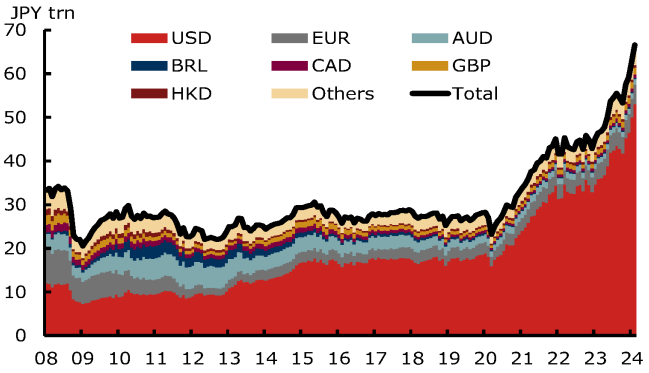
Source: NRI, Nomura

Fig. 28: Net purchases of toshins investing in foreign securities (daily)



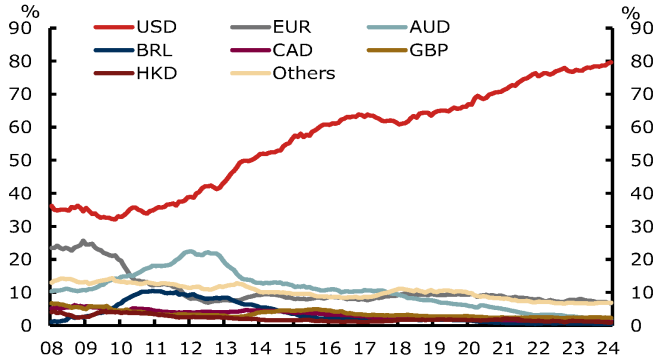
Source: NRI, Nomura

Fig. 29: Outstanding of toshins investing in foreign assets (classified by underlying assets)



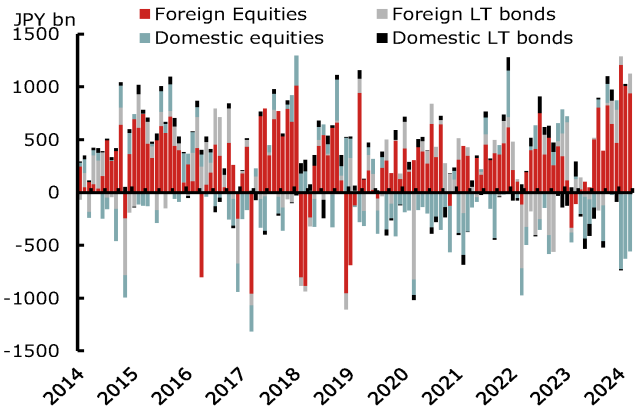
Source: Investment Trust Association, Japan, Nomura

Fig. 30: Share of outstanding toshins investing in foreign assets



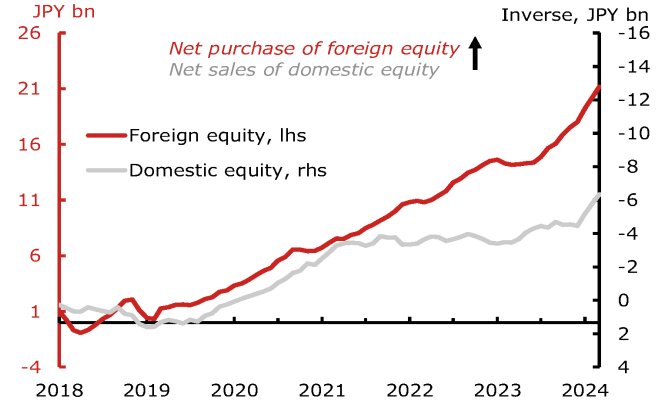
Source: Investment Trust Association Japan, Nomura

Fig. 31: Portfolio investment flow via investment trust



Source: Nomura, MOF, JSDA, JPX

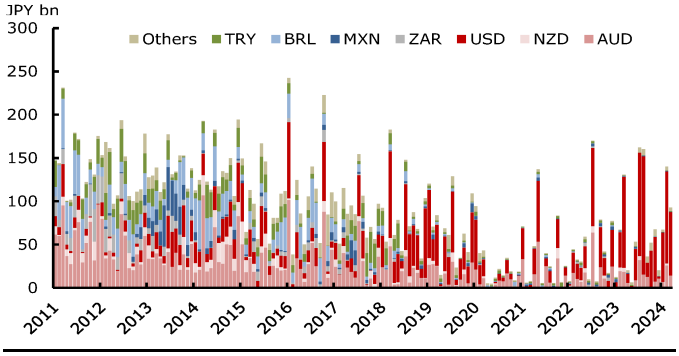
Fig. 32: Cumulative equity investment by toshins



Note: Aggregate of flow data since January 2018.
Source: Nomura, MOF, JPX

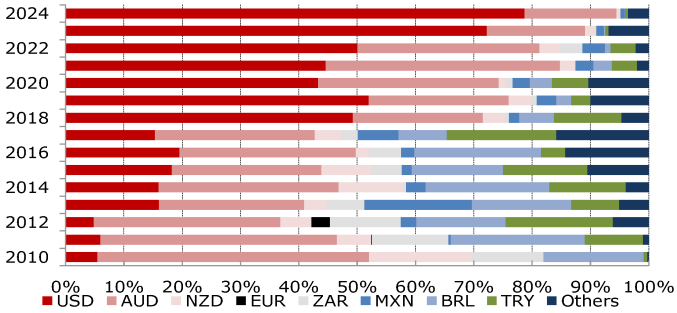
Uridashi bond market

Fig. 33: Uridashi issuance by currency



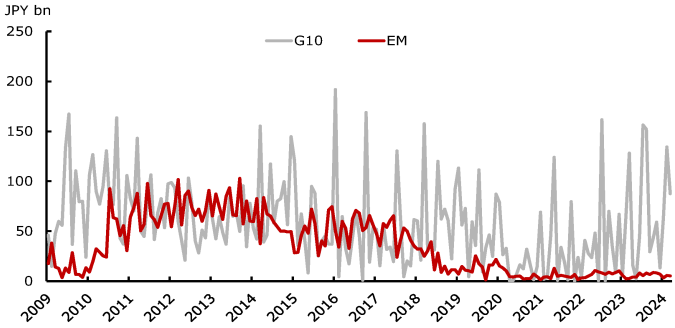
Source: Nomura, Bloomberg

Fig. 34: Major currency share in Uridashi issuance



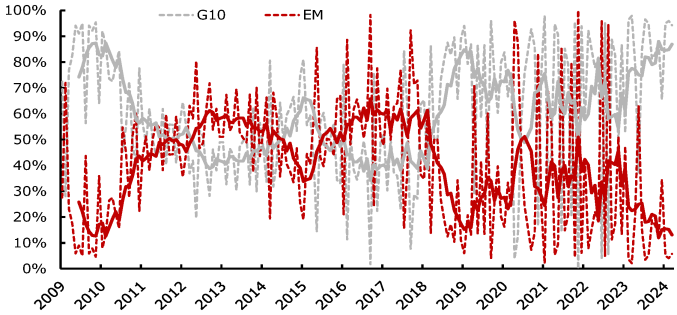
Note: Data for 2024 is YTD.
Source: Nomura, Bloomberg

Fig. 35: Uridashi bond issuance by type of currency



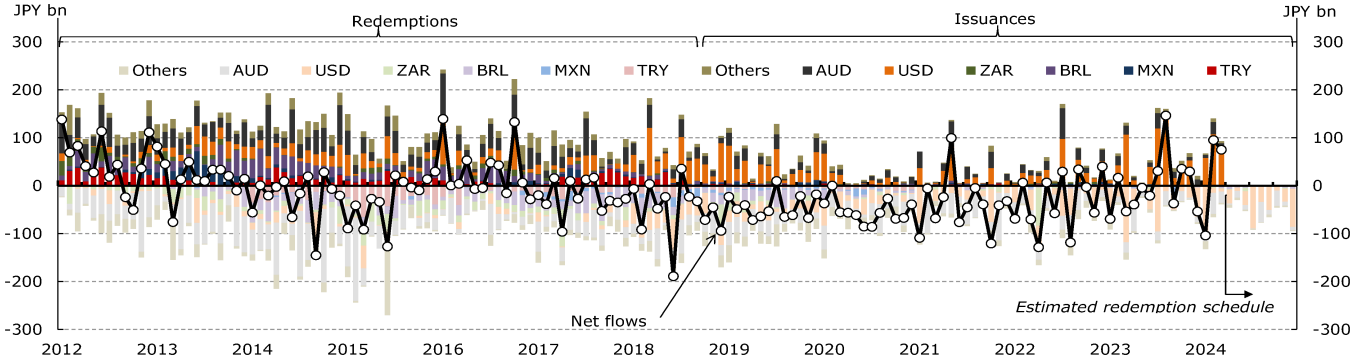
Source: Nomura, Bloomberg

Fig. 36: Share of uridashi issuance by currency type



Source: Nomura, Bloomberg

Fig. 37: Uridashi bond issuance and redemptions by currency



Source: Nomura, Bloomberg

Appendix A-1

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